Portfolio of Economic Concepts

The Twelve Competencies of Macroeconomics with Artifacts.

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Macroeconomics: Final Project

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Develop Analytical Skills Central To Economic Thinking

Section #1

- Scarcity
- Opportunity Costs
- Factors of Production
- Production Possibilities Curve
- What?, For Whom? & How?



Section #1:

Scarcity

- **Scarcity is the underling control of economics.**
- **Material is not infinitive thus it should be reserved.**
- **Scarce resources are more valuable as they are harder to find.**
- **Knowing how scarcity works will help you make better economic decisions.**



The full show from Prosperity Podcast highlighted on this slide, can be found at the link below.

("Do you have an underling belief in scarcity?", Prosperity Podcast: 2008)

Section #1:

Opportunity Costs

- For everything resources are spent on there are other opportune uses for the same resources that are foregone.

- Resources are scarce and their really is nothing for "free".

- Any thing provided that is "free" always ends up payed for in one way or another. Opportunities are foregone to provide these "free" products or services. Though it may seem free to you, remember that someone paid for it somewhere.



To hear the full podcast of the clip presented in this slide, please follow the link below.

(Chris Anderson & Russ Roberts, "Cris Anderson on Free", Econtalk: May 2008)

Section #1:

Factors of Production

- Land
- Labor
- Capital
- Entrepreneurship

These are the four main resources used for production



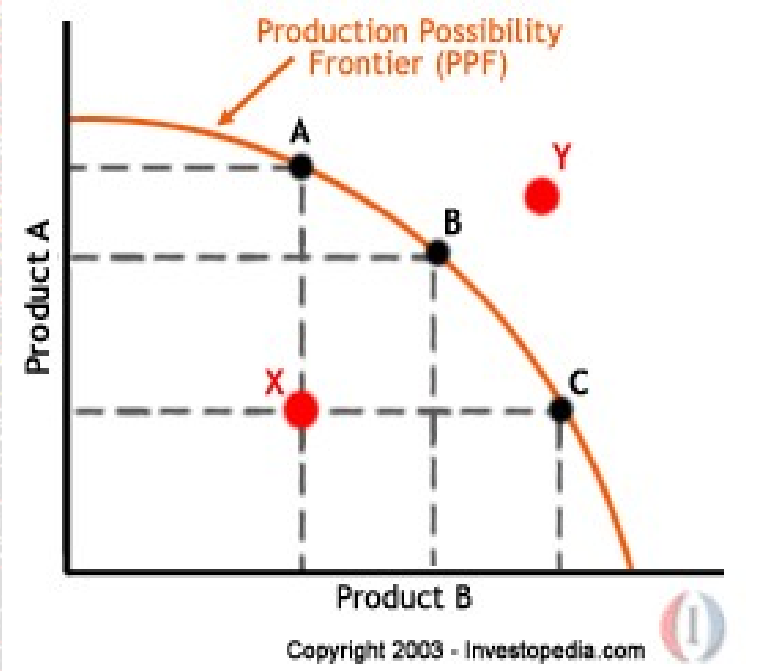
Factors of Production Image

Section #1

Production Possibilities Curve

- The production possibilities curve is a graphical representation of all the different possible combinations of production with available resources.

- This curve helps a company or economy see the opportunity costs they must incur to change the quantity of production on any of their products.

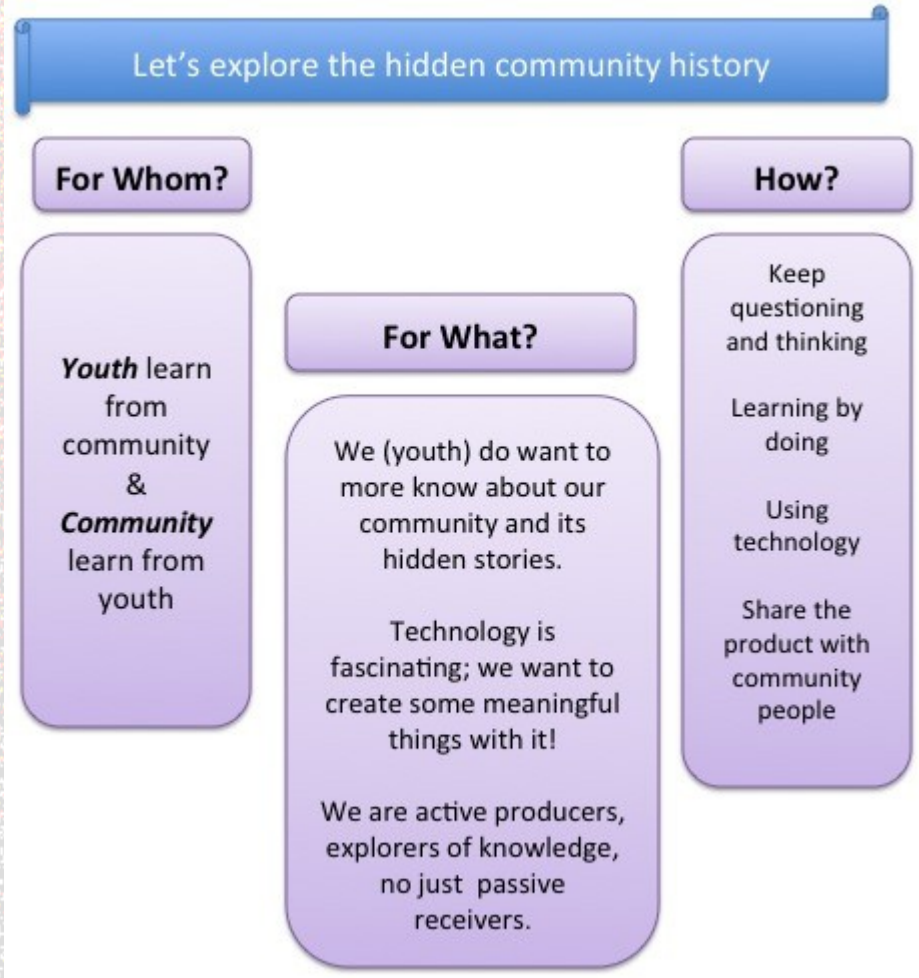


Core Economic Questions

- **What to produce?**
When looking at the production possibilities curve you see that you have choices on what to produce and not to.

- **How to produce?**
In the production of anything, the question how to produce it is key. Some companies choose to create a cheaper product catering to a larger market, while others choose to produce top of the line products. The answer to how to produce depends on available resources (Factors of Production) and demand

- **For whom to produce?**
Also dependent on demand and what is being produced



Core Economic Questions

Use Supply & Demand Analysis

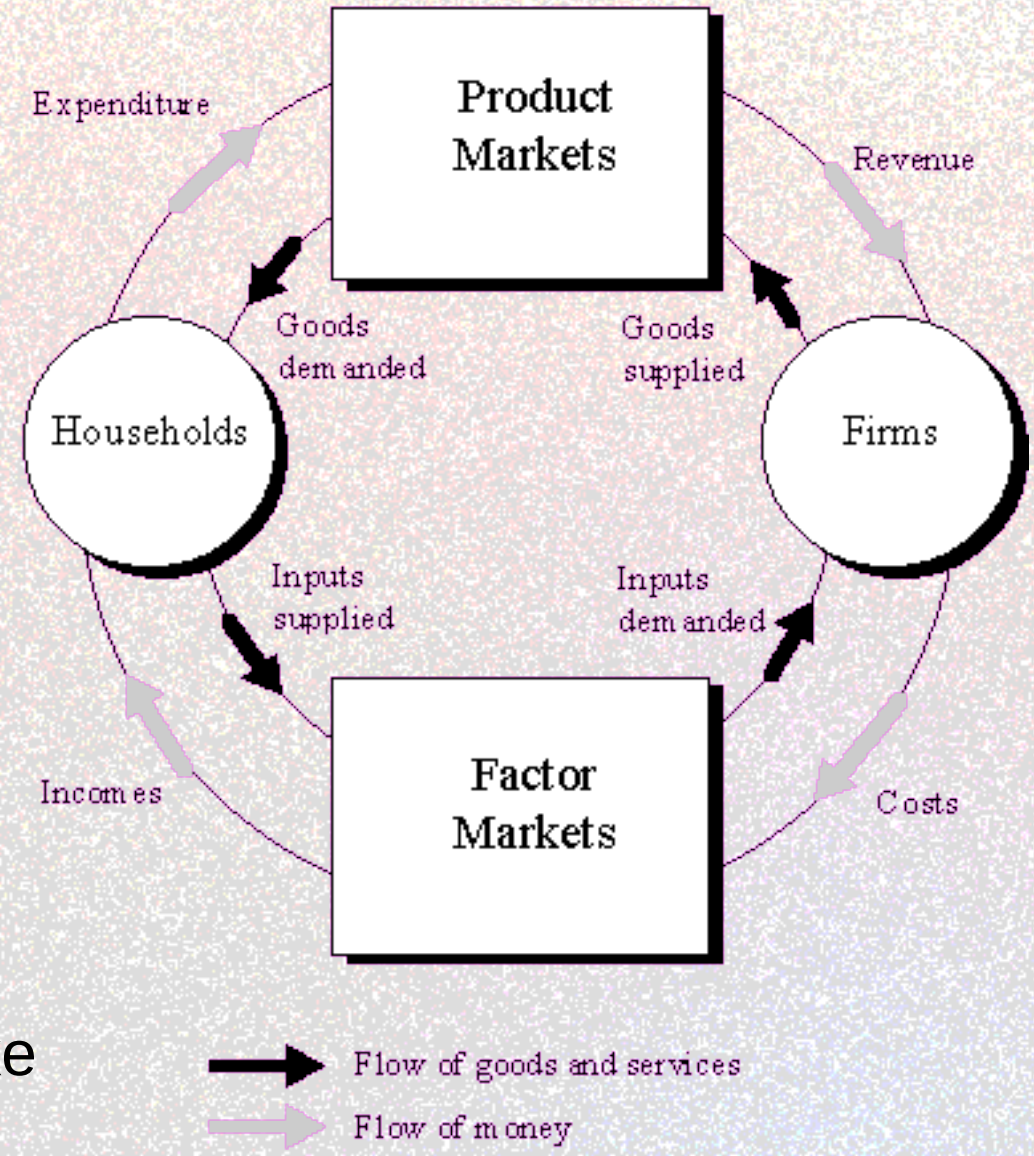
Section #2

- Circular Flow
- Demand Curve
- Supply Curve
- Equilibrium



Circular Flow

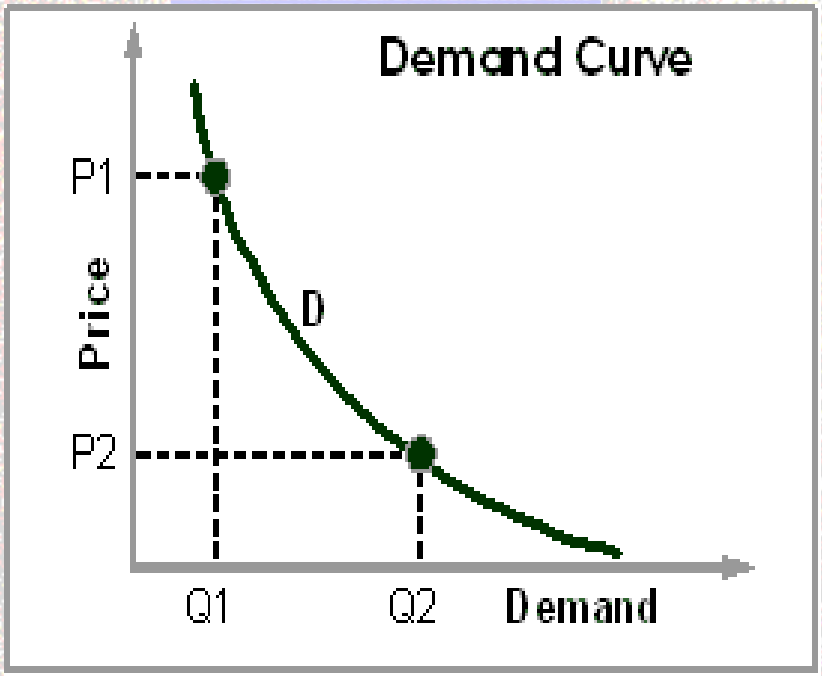
- Business firms purchase factors of production, and supply their goods and services to product markets.
- Consumers sell their services in the factor markets.
- The government acquires resources in the factor markets and provides services to consumers and businesses
- Imports and exports also take part in the circular flow.



Demand Curve

- The demand curve relates demand with price.

Demand Curve



- As price goes up demand goes down this is a movement along the curve. (ceteris paribus). The curve will not move at all, only the point on the curve will move.

- Desire, Other Goods and Services, Expectations, Income, Number of buyers,

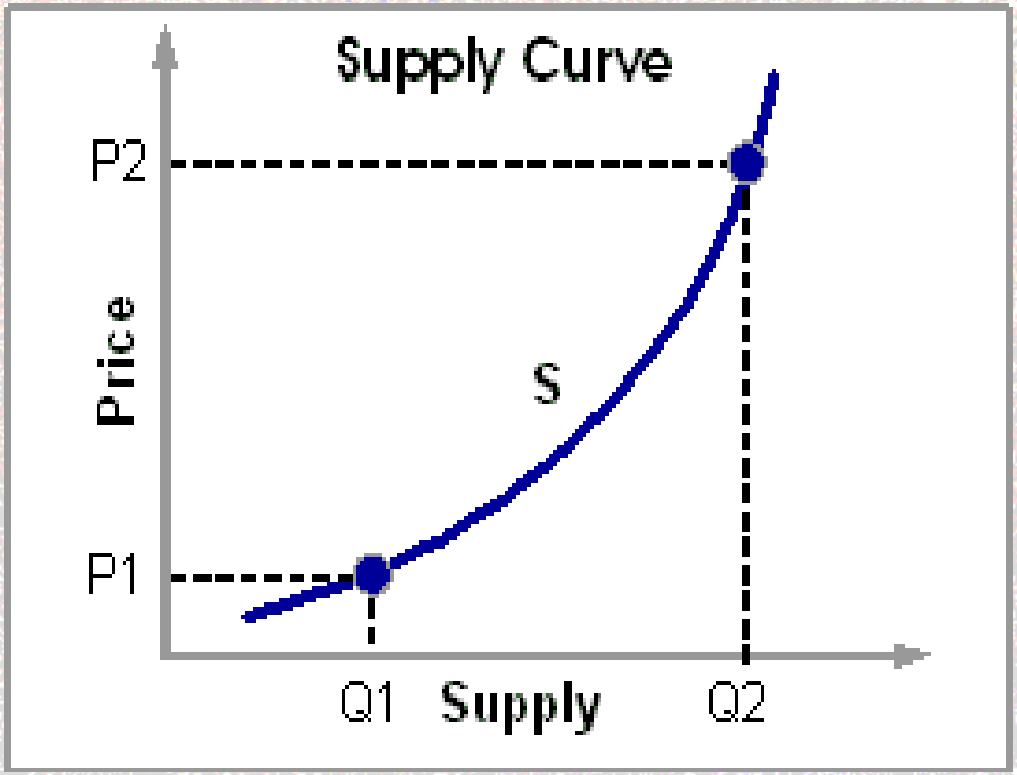
- These are determinants that change overall demand, thus a demand shift. Increase or decrease in overall demand. This will make the demand curve shift left if overall demand goes down, and right if overall demand goes up.

Supply Curve

- The supply curve is a representation of sellers intentions to sell at different prices.

- As the quantity supplied for demand goes up so does the price. This is a movement along the supply curve (ceteris paribus)

Supply Curve



- Changes in overall supply not just the quantity supplied will shift the supply curve; left when supply goes down, and right when it goes up. Thus the lower quantity of supply goes the more expensive a product will be. The higher the quantity of supply goes the less expensive the product will be.

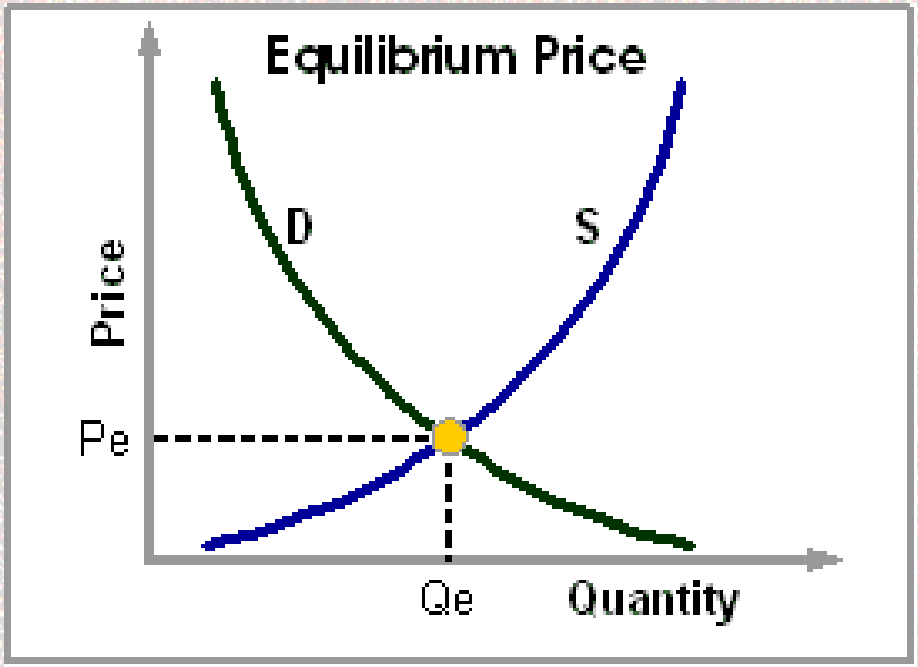
Equilibrium

- Equilibrium is where the price sellers are willing to sell at and the price buyers are willing to pay intersect.

- You can not sell something at a rate buyers are not willing to pay.

- Notice in the image to the right equilibrium is where the supply and demand curves intersect.

Equilibrium



Investigate Principal Goals and Tools of Macroeconomic Analysis

Section #3

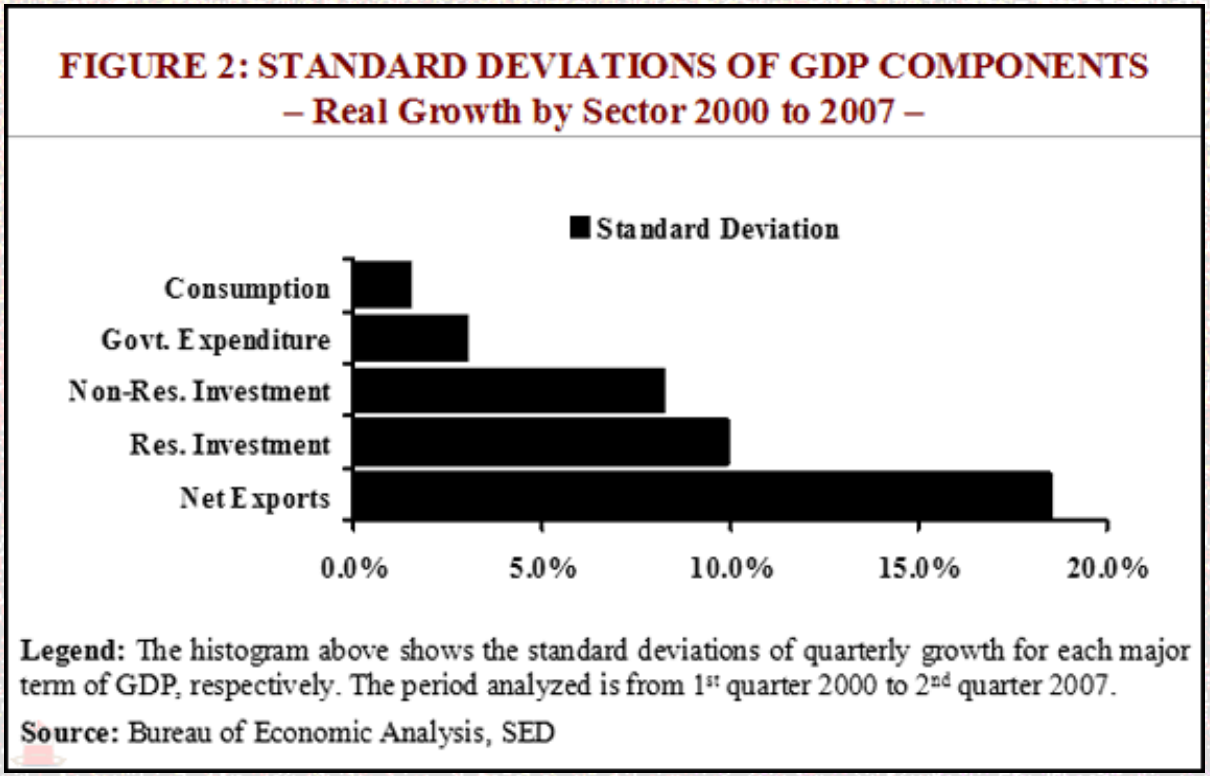
- National Output: GDP
- Unemployment
- Inflation
- Dow Jones

Section #3

National Output: GDP

C+I+G+(X-M) = GDP

- Consumption
- Investment
- Government Spending
- Net Exports



GDP can be REAL and NOMINAL

Real Growth Example

- Real GDP has inflation factored in so it can be compared with the GDP from other years.
- Nominal GDP is expressed with todays dollar value.

Section #3

Unemployment

- To attain Full Employment it must be a goal to eliminate unemployment.

- Statistics of unemployment are gathered from unemployment claims and used to help calculate the overall health of the macro economy.



Section #3

Inflation

Inflation is the loss of currency value. 3% inflation is considered healthy.

Inflation rates are used to find real GDP for comparison

If inflation gets out of hand money you acquired today could loose a lot of its value by tomorrow.

Inflation Image



To keep inflation under control we exercise the adjustment of the federal interest rate.

Section #3

Dow Jones

Every business day stock brokers and investors get together to buy and sell their interests.

Rally Floor Image



The value of these interests are tracked on stock indexes. One of the main indexes that is commonly used to asses the health of the macro economy is The Dow Jones index.

The Dow Jones has a large number of corporations it tracks, more than the others. That is why it is a main factor in guessing the health of the economy,

Aggregate Expenditure Model & the Aggregate Demand and Supply Model

Section #4

- Government Spending
- Consumption & Savings
- Aggregate Demand
- Aggregate Supply

Section #4

Government Spending

The role government plays in the aggregate expenditure model is by spending money and returning money to the tax payers.

Government Revenue Cartoon



This money has a multiplier effect so any stimulus spent must be calculated to include the multiplier.

When the government spends money it increases aggregate demand, we don't want to cause excessive inflation so we must watch this technique closely. Using aggregate expenditure model we can monitor spending to help assure it doesn't get out of hand. The goal is always equilibrium and we are the executors who spend the money.

Section #4

Consumption & Savings

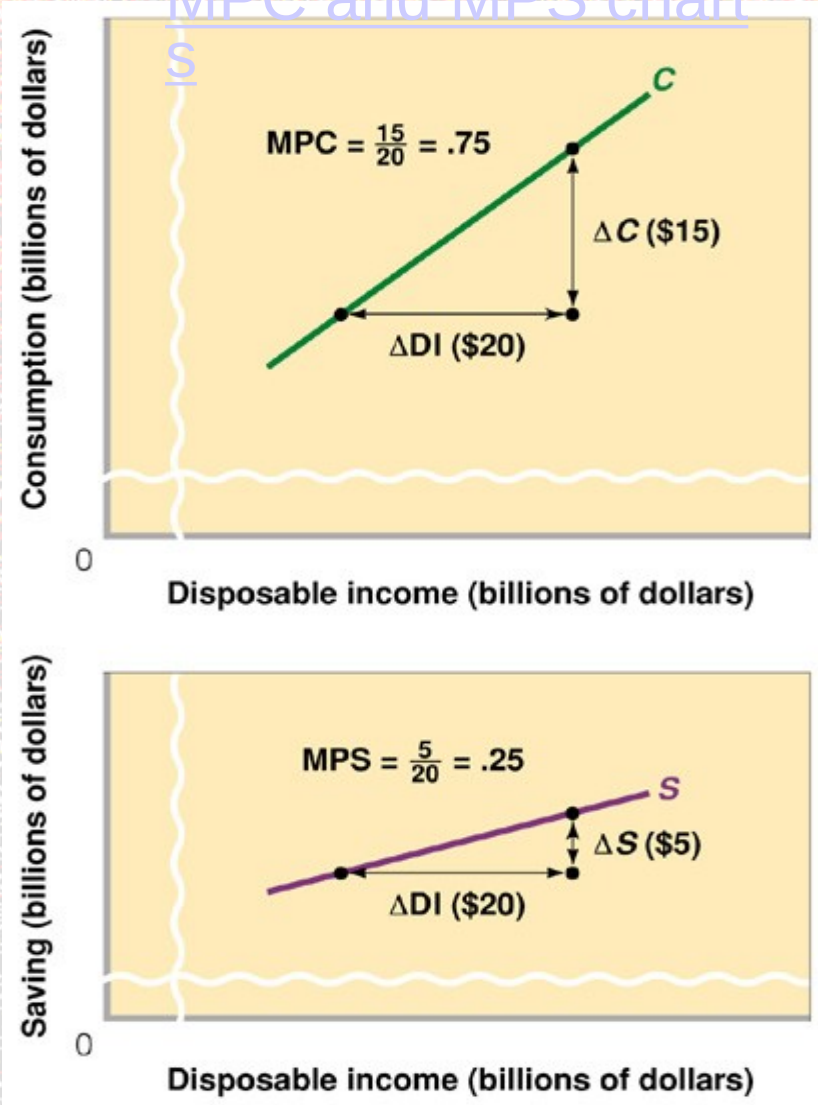
MPC: The fraction of our money we are likely to spend on consumption

MPS: The fraction of our money we are likely to save

These two variables are used in the estimate of aggregate expenditure, helping us predict future spending

MPC+MPS always = 1

MPC and MPS charts



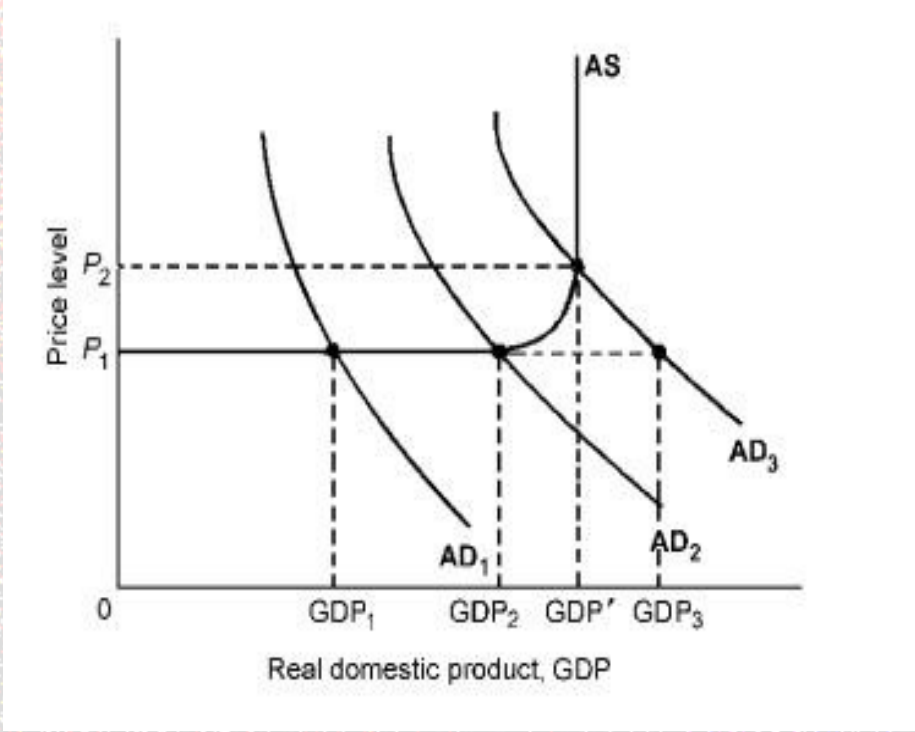
Section #4

Aggregate Demand

- Aggregate demand is The collective behavior of all buyers in the market place

- Aggregate demand curves like the one on the right are used to analyze demand.

Aggregate Demand Curve

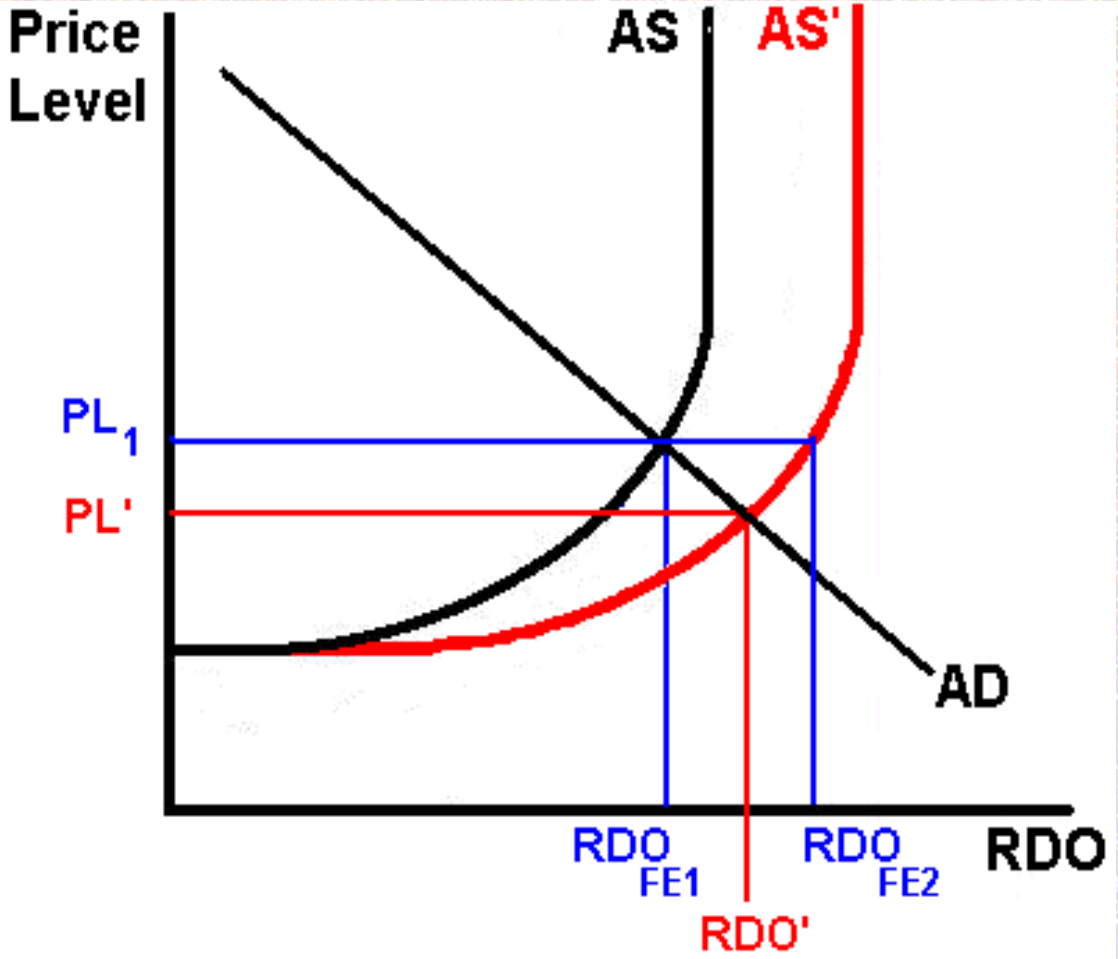


Section #4

Aggregate Supply

Aggregate Supply like demand changes along the curve on when price changes, except the QTY goes down instead.

Notice the aggregate supply curve to the right starts in the bottom left and flows upward



Structure Of Fiscal Policy

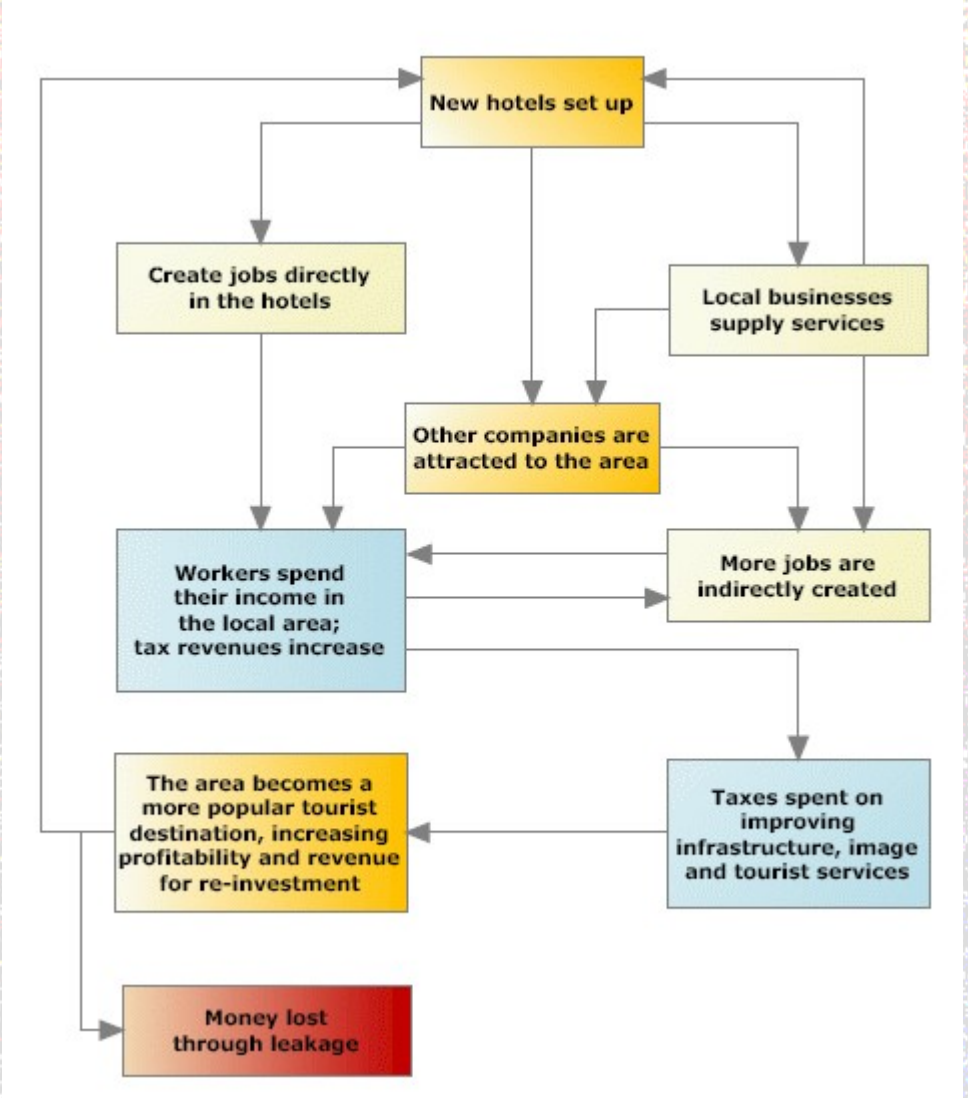
Section #5

- Multiplier Effect
- Fiscal Restraint
- Crowding Out
- Disposable income

Multiplier Effect

Multiplier Effect

The multiplier effect is the number of times a dollar of fiscal stimulus gets re-spent. The image to the right shows an example of this



Section #5

Fiscal Restraint

Fiscal Restraint is the exercise of tax increases to control expansion

Uncle Sam and Taxes



Crowding Out

Crowding Out

Crowding out is government expenditure stepping on the toes of other financiers and suppliers that would other wise have higher employment if wasn't for government stimulus



Disposable Income

Disposable income is the income after government and personal taxes

Disposable Income



The System of Money and Banking Practiced in the US

Section #6

- Electronic Banking
- On line bill payment
- ATM cards and check cards
- Credit Cards

Online Banking

Online Banking

Many of us now track our deposits and debits online. This is just one of the tools that make our lives easier



Section #6

Online Bill Payment

Americans these days are paying their bills over the phone and online, you can even opt to have automatic payments directly from your account



Debit Cards

Debit Cards

We use debit and check cards everywhere now.



Credit Cards

Credit card debt is abundant in the US. I guess we like to spend money. Credit cards are expensive but we still have them.

Credit Trap



The Structure of Monetary Policy

Section #7

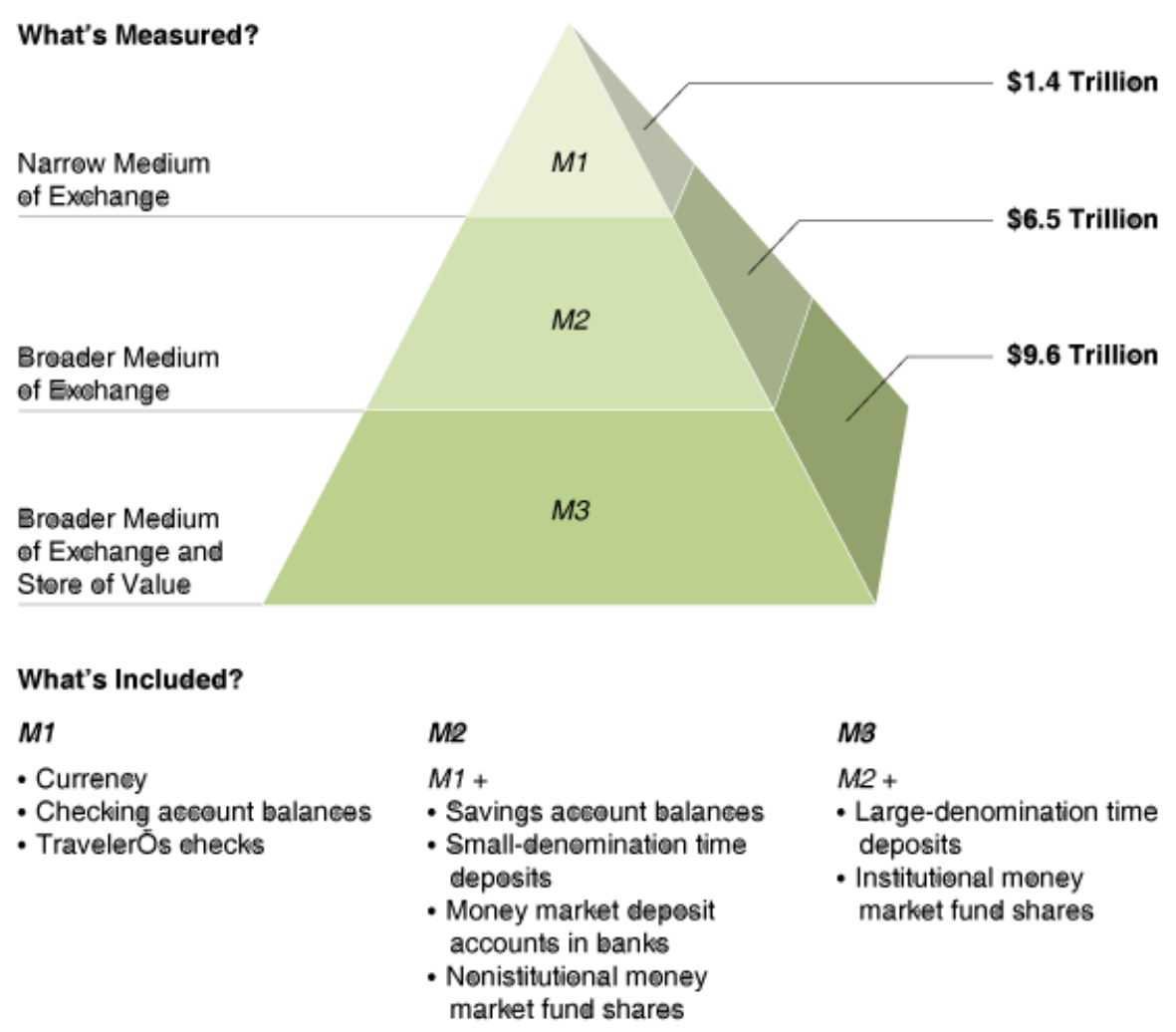
- Money Supply
- Money Multiplier
- Banks in Circular Flow
- Bank reserves

Money Supply

Money Supply

Money supply falls into 3 categories, M1, M2, M3

A description of these categories can be seen in the image to right.



Money Multiplier

The multiplier is the amount of money that can be created from a deposit.

Money Tree

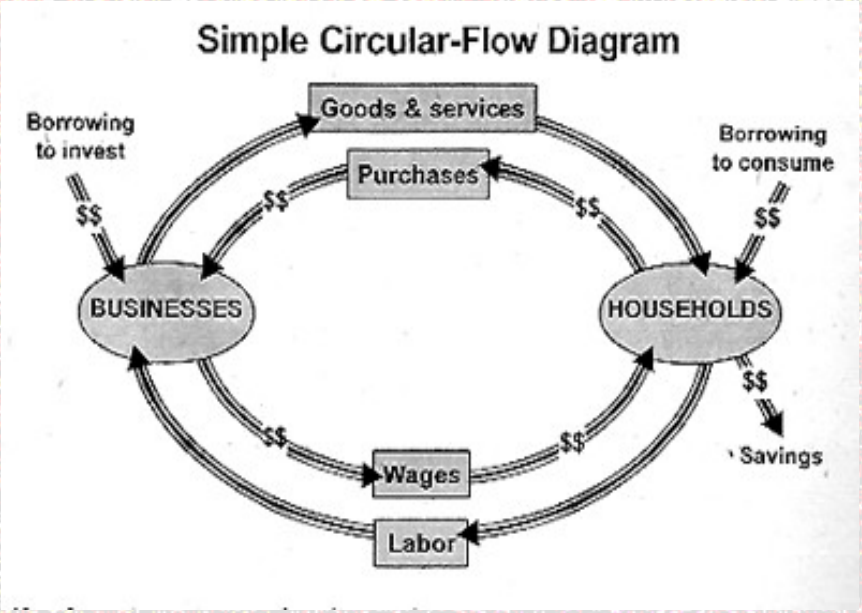


$$\text{Money multiplier} = \frac{1}{\text{required reserve ratio}}$$

Section #7

Banks in Circular Flow

The circular flow of factor and product markets also include banks for borrowing and saving money.



Circular Flow Including Banks Image

Section #7

Banks in Circular Flow

Banks provide loans that stimulate the market. They use the multiplier effect to create money and provide businesses and households with loans.

